

Incessantly understanding the need of the end-users and demand in the market, the SMT manufacturers have made numerous upgrades in the existing systems to address the requirements

However, India has little to be anxious about. As the US and European markets have been the most severely hit by recession, almost all SMT manufacturers are now eyeing the Asian market, especially China and India, for growth.

Exports to the US have declined but the demand for products in the domestic market has not been affected much. On the contrary, many companies are announcing investments in infrastructure equipment—a strong driving force for growth.

"In the future, India is expected to be better placed than developed US, European Union and Asian economies as the country harbours lesser dependence on exports," says Sukhvinder Kumar, general manager, Elcoteq Electronics India.

A number of firms are eyeing India as their profit-making centre. In the last two years, dozens of SMT companies have made their way into the Indian market. One player that has recently made its entry into the country is ViTechnology—one of the biggest players in automated optical inspection (AOI) business. The very fact that a company of ViTechnology's magnitude and stature chose to enter India during recession, highlights that the country has immense potential for growth in the SMT segment and also that global firms are well aware of this reality.

Rakesh Shetty, business development manager, ViTechnology India, says, "India and China are now looked at as destinations that can garner the maximum quantum of business. The finest way to attract more business is to offer the best possible solutions with extensive after-sales services. ViTechnology is known for high-end products in the AOI segment and we have received

some solid queries for our products. Recession will definitely hurt India slightly, but I am sure that people will continue to invest in the country in hopes of future returns."

Suresh Nair, vice-president, Leaptch Corporation, says that many manufacturers are shifting from through-hole technology to SMT, heralding good times for SMT players.

"Many high-end products are being converted into SMT but consumer products continue to be made via through-hole technology only. CFL will be converted into SMT sooner or later due to the power factor issues imposed by the government, leaving CFL manufacturers with no other choice but to obey," adds Nair.

With more and more manufacturing getting converted into SMT processes, one can only imagine the potential India will have in the future for different SMT manufacturers and distributors.

Typical buyers

In India, SMT buyers are broadly categorised into global players and local players catering to different industries like automotive, telecom, medical, industrial electronics and consumer electronics.

Amit Madan, country manager, India, Transtechnology, says, "Typical buyers of SMT machines include EMS companies (MNCs as well as local) and automotive, consumer, industrial and defence/strategic electronics product manufacturers—basically, anybody who has a printed circuit board (PCB) going into his product and the design based on SMT."

Ashutosh Agate, director, Agate & Agate, says, "Most customers of Agate & Agate are small- and medium-scale electronics manufacturers. Some

of those are EMS companies, while others use for their captive consumption."

What to expect in the future?

Even though the world is gripped in recession, India seems to be one of the few countries in Asia which are coming up with innovative strategies to counter the effects of recession, and most companies are doing it successfully. Moreover, today, the government is well aware that India is not a nation which is only into services but it can also manufacture world-class products. 'Made in India' is no longer seen as a tag unacceptable to the customers. But, the most important thing is improvement in infrastructure and power as these two will be crucial incentives for any multinational company willing to set up its manufacturing base in the country.

According to Frost & Sullivan, consumption of electronics in India has been on the rise with potential for the local electronics hardware industry to scale to \$65 billion by 2010. The growing influx of electronics content in consumer electronics, automotive and communication products is driving the need for more of indigenous manufacturing and thereby posing a strong future for SMT equipment in the country. Incessantly understanding the need of the end-users and demand in the market, the SMT manufacturers have made numerous upgrades in the existing systems to address the requirements.

If we make the right moves, then sky is the limit for SMT players in India. Earlier, for setting up manufacturing bases, most of the companies used to look at China only but now the trend is changing. India needs to catch hold of this opportunity by offering incentives to these firms, as they will not only generate employment but also ensure that we can grow at double-digit GDP. ●

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